Dolph Research

EQUITY RESEARCH NOTE

BOEING CO

STANDALONE MARCH 10, 2026

BA — Current period: 2025-12-31 | Prior period: 2024-12-31

EXECUTIVE SUMMARY

BOEING CO

Executive Summary

BA closes 2025-12-31 with $89.5B of revenue (34.5% YoY) and $2.23B of net income versus -$11.8B in the prior period. The period ended with an operating margin of 4.8% and a net margin of 2.5%, which frames how much of the reported scale translated into retained profitability.

Operating cash flow reached $1.06B versus -$12.1B in the prior period, and after $2.94B of capital spending the business produced -$1.88B of free cash flow (-86.9% YoY). Capital spending absorbed 3.3% of revenue, which helps frame how much internal cash flow remained available after reinvestment.

Current liquidity of 1.19x and debt-to-equity of 11.42x point to a balance sheet that is neither clearly stressed nor clearly overcapitalized. That balance-sheet reading should still be weighed against weak cash generation when operating or free cash flow is negative.

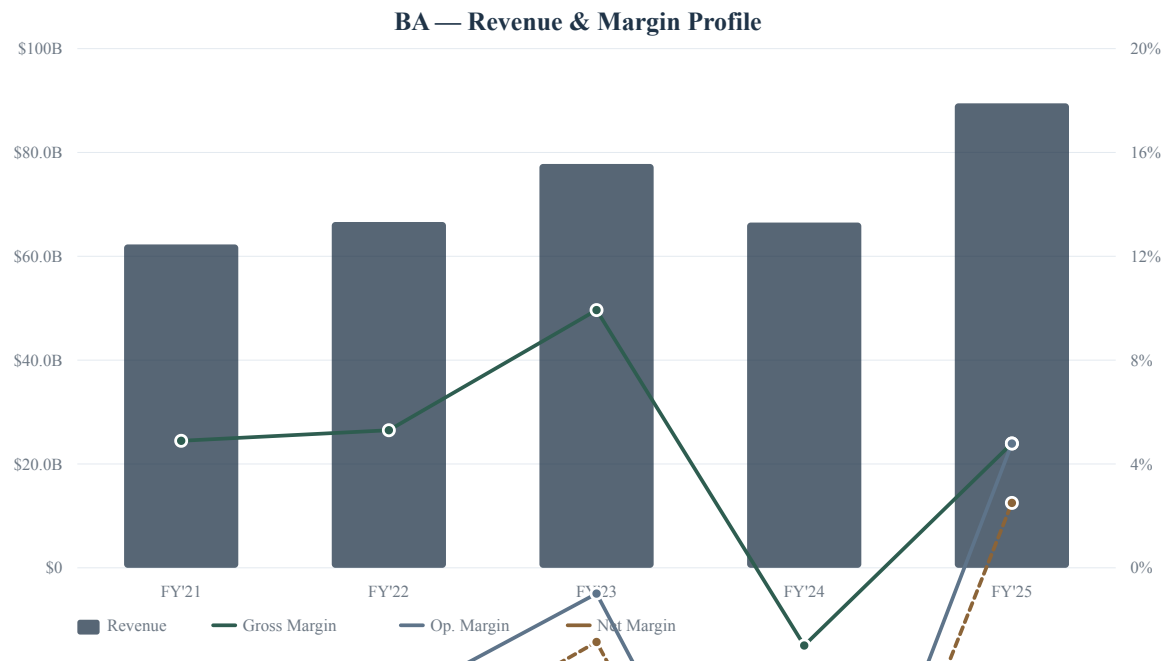
REVENUE	NET INCOME	OPERATING MARGIN	FREE CASH FLOW
$89.5B	$2.23B	4.8%	-$1.88B
34.5%	NM	NM	-86.9%

Snapshot Scorecard

METRIC	CURRENT	PRIOR	CHANGE
Revenue	$89.5B	$66.5B	34.5%
Net Income	$2.23B	-$11.8B	NM
Operating Margin	4.8%	-16.1%	NM
Debt-to-Equity	11.42x	-13.76x	NM
Current Ratio	1.19x	1.32x	-9.9%
Free Cash Flow	-$1.88B	-$14.3B	-86.9%

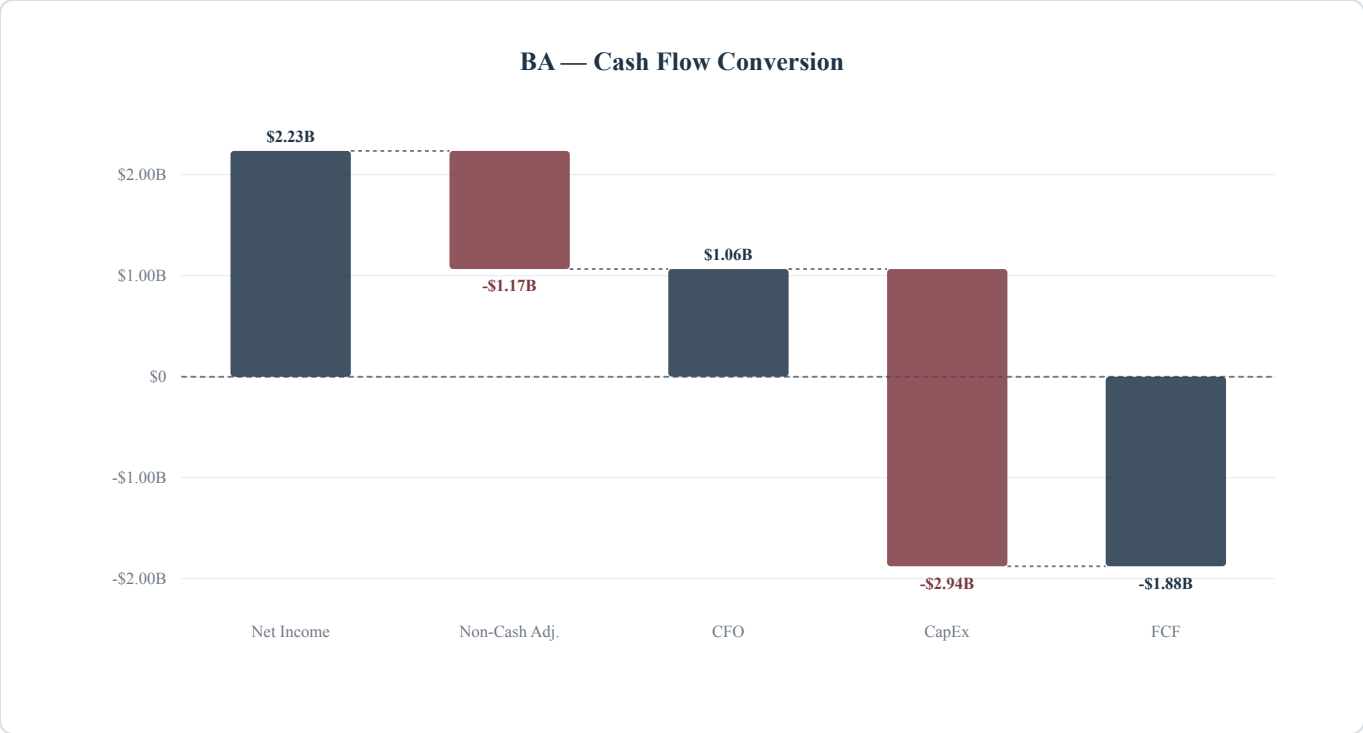
Visual Highlights

BA — Current period: 2025-12-31 | Prior period: 2024-12-31



Revenue Growth & Margin Profile

Revenue trend and margin structure across the most recent annual periods.



Cash Flow Conversion

Bridge from earnings to free cash flow to assess conversion quality.

Key Metrics Dashboard

BA — Current period: 2025-12-31 | Prior period: 2024-12-31

Profitability

METRIC	CURRENT VALUE	PRIOR PERIOD	CHANGE (%)
Gross Profit	$4.29B	-$1.99B	NM
Return on Equity	289.7%	111.8%	159.1%
Return on Assets	1.4%	-8.1%	NM
Gross Margin	4.8%	-3.0%	NM
Operating Margin	4.8%	-16.1%	NM
Net Margin	2.5%	-17.8%	NM
Earnings Per Share (Diluted)	$2.48	$-18.36	NM

Liquidity & Leverage (1/2)

METRIC	CURRENT VALUE	PRIOR PERIOD	CHANGE (%)
Current Assets	$128B	$128B	0.4%
Current Liabilities	$108B	$97.1B	11.4%
Cash & Equivalents	$10.9B	$13.8B	-20.9%
Cash, Cash Equivalents & Restricted Cash	$11.7B	$13.8B	-15.6%
Restricted Cash	$742M	$21M	NM
Cash, Cash Equivalents & Short-Term Investments	$29.4B	$26.3B	11.9%
Short-Term Investments	$18.5B	$12.5B	48.1%

Liquidity & Leverage (2/2)

METRIC	CURRENT VALUE	PRIOR PERIOD	CHANGE (%)
Marketable Securities	Not reported	Not reported	Not reported
Long-Term Debt	$53.8B	$53.6B	0.4%
Short-Term Debt	$8.46B	$1.28B	562.1%
Total Debt	$62.3B	$53.9B	15.7%
Current Ratio	1.19x	1.32x	-9.9%
Debt-to-Equity	11.42x	-13.76x	NM

Key Metrics Dashboard (Cont.)

BA — Current period: 2025-12-31 | Prior period: 2024-12-31

Scale

METRIC	CURRENT VALUE	PRIOR PERIOD	CHANGE (%)
Revenue	$89.5B	$66.5B	34.5%
Gross Profit	$4.29B	-$1.99B	NM
Operating Income	$4.28B	-$10.7B	NM
Net Income	$2.23B	-$11.8B	NM
Total Assets	$168B	$156B	7.6%
Total Liabilities	$163B	$160B	1.6%
Stockholders' Equity	$5.46B	-$3.91B	NM

Cash Flow & Per Share

METRIC	CURRENT VALUE	PRIOR PERIOD	CHANGE (%)
Operating Cash Flow	$1.06B	-$12.1B	NM
Cash at End of Period (cash-flow statement)	$11.7B	$13.8B	-15.6%
Capital Expenditures	-$2.94B	-$2.23B	31.9%
Free Cash Flow	-$1.88B	-$14.3B	-86.9%

Commentary

BA — Current period: 2025-12-31 | Prior period: 2024-12-31

What stands out

Across the annual periods shown here, operating cash flow provides the clearest recurring pattern, with the latest value at $1.06B and a compound annual growth rate of -11.5%. The decline is gradual, but the direction remains negative across the observed periods.

The multi-year trajectory has been broadly stable without a strong directional shift. Cash generation remains the main point of pressure, with $1.06B of operating cash flow and -$1.88B of free cash flow in the current period. Balance-sheet pressure should be read through both leverage (11.42x debt-to-equity) and liquidity (1.19x current ratio), because those measures do not always point to the same conclusion about financial flexibility.

Watch items

The most important risks in the current numbers are concentrated in the areas where profitability, cash generation, or balance-sheet support are not moving together. Debt-to-equity at 11.42x indicates elevated leverage.

Analyst interpretation

The most constructive part of BA's profile is straightforward: ROE of 289.7% points to very strong earnings generation relative to book equity. Revenue rose 34.5% year over year, marking a meaningful step-up in scale. That matters because leverage (11.42x debt-to-equity), liquidity (1.19x current ratio), and free cash flow (-$1.88B) need to be read together rather than in isolation.

This note is anchored to the annual period ending 2025-12-31, with the prior period set at 2024-12-31. Metrics without the required statement support remain blank rather than estimated, so the analysis stays tied to the filing evidence rather than to gap-filled assumptions.

Appendix

BA — Current period: 2025-12-31 | Prior period: 2024-12-31

Appendix A — BA Income Statement

METRIC	FY2025	FY2024
Revenue	$89.5B	$66.5B
Cost of Revenue	$85.2B	$68.5B
Gross Profit	$4.29B	-$1.99B
Operating Income	$4.28B	-$10.7B
Net Income	$2.23B	-$11.8B
EPS (Basic)	$2.49	$-18.36
EPS (Diluted)	$2.48	$-18.36
Weighted Avg Shares (Diluted)	762.3M	646.9M
R&D Expenses	$3.62B	$3.81B
Pretax Income	$2.63B	-$12.2B
Income Tax Expense	$397M	-$381M

Appendix B — BA Balance Sheet (Part 1/2)

METRIC	FY2025	FY2024
Shares Outstanding	1.0B	1.0B
Total Assets	$168B	$156B
Total Liabilities	$163B	$160B
Total Stockholders' Equity	$5.46B	-$3.91B
Current Assets	$128B	$128B
Current Liabilities	$108B	$97.1B
Cash & Equivalents	$10.9B	$13.8B
Cash, Cash Equivalents & Restricted Cash	$11.7B	$13.8B
Cash, Cash Equivalents & Short-Term Investments (derived)	$29.4B	$26.3B
Restricted Cash	$742M	$21M
Total Debt (reported/reconciled)	$62.3B	$53.9B
Long-Term Debt	$53.8B	$53.6B

Appendix (Cont.)

BA — Current period: 2025-12-31 | Prior period: 2024-12-31

Appendix B — BA Balance Sheet (Part 2/2)

METRIC	FY2025	FY2024
Short-Term Debt	$8.46B	$1.28B
Accounts Receivable	$2.92B	$2.63B
Short-Term Investments	$18.5B	$12.5B
Other Current Assets	$2.30B	$2.96B
Accounts Payable	$13.1B	$11.4B
Accrued Expenses	$27.1B	$24.1B
Other Current Liabilities	$4.49B	$3.63B
Retained Earnings	$17.3B	$15.4B
AOCI	-$10.3B	-$10.9B
Treasury Stock	-$28.0B	-$32.4B
Goodwill	$17.3B	$8.08B

Appendix C — BA Cash Flow Statement

METRIC	FY2025	FY2024
Operating Cash Flow	$1.06B	-$12.1B
Capital Expenditures	-$2.94B	-$2.23B
Investing Cash Flow	$499M	-$12.0B
Financing Cash Flow	-$3.76B	$25.2B
Dividends Paid	-$331M	Not reported
Depreciation & Amortization	$1.95B	$1.84B
Amortization of Intangibles	$204M	$223M
Debt Repayment	-$3.62B	-$8.67B
Net Change in Cash	-$2.16B	$1.11B
Cash at End of Period (cash-flow statement)	$11.7B	$13.8B

Data Sources & Notes

TICKER	CIK	ACCESSION	FORM	FILED	PRIMARY DOCUMENT
BA	0000012927	0001628280-26-004357	10-K	2026-01-30	https://www.sec.gov/Archives/edgar/data/12927/000162828026004357/ba-20251231.htm

Method Notes

Financial values are sourced from SEC EDGAR filings and normalized into statement-level metrics.

Standalone metrics use the selected current and prior annual periods for the issuer.

The narrative summarizes the filing-backed figures shown elsewhere in the report and does not alter the calculations.

Report date: 2026-03-10.

Disclaimer: For research use only; not investment advice.